VIRTUALLY REAL

- Pilot launch planned for specific use cases
- Wholesale and retail forms of e-rupee on the cards
- To offer trust, safety, liquidity, settlement finality and integrity
- The architecture could be blockchain, centralised technology or hybrid
- To comply with money laundering/ terror financing norms

to be used only at input store outlets. The RBI is exploring the option of an account-based digital currency (where transactions could be traced) for wholesale transactions and a token-based version (where only verification takes place) for retail. The architecture to implement all this has not been finalised yet. It could either be a distributed ledger technology like blockchain, a centralised one, or a hybrid (open source/ proprietary) architecture. The currency will also need to comply with money laundering and terror financing norms.

The e-rupee's advent comes when India has already made big strides on the digital payments front—with the pandemic accelerating its adoption. In 2021-22, UPI (Unified Payments Interface, an instant real-time payment system) processed more than 46 billion transactions amounting to over Rs 84 lakh crore. Experts think the concept note has come a bit late in the day, and the CBDC will not be able to make any significant change in the way digital transactions occur in the country. "Digital transactions are growing exponentially through UPI and a host of apps such as Paytm and Google Pay. There is not much more that the CBDC can achieve," says Kunal Nandwani, co-founder and CEO, uTrade Solutions, a fintech firm. Digital currencies haven't had much traction in countries where they have been launched, he adds.

The move also comes at a time when India is working on a bill to regulate private digital currencies such as cryptocurrencies. This, then, is the official crypto. ■



ANI

GUJARAT/ PROHIBITION

MESSAGE IN THE BOTTLE

By Jumana Shah

Unlike previous elections, prohibition has emerged as a big issue in Gujarat this time, especially after the ongoing war of words between the Aam Aadmi Party (AAP) and the Bharatiya Janata Party (BJP). In July this year, spurious liquor ('chemical consumption', as the government calls it) led to the death of 42 people in Botad district. This gave AAP a handle to attack the ruling BJP over the lax implementation of prohibition in the state. But as the Delhi liquor policy 'scam' unravelled, the state BJP launched a counter-offensive questioning the moral grounds on which AAP raised the issue. Gujarat has been a dry state since it came into being in 1960 and BJP leaders have been trying to create an alarm about AAP lifting prohibition if it comes to power.

However, AAP chief Arvind Kejriwal quelled that rumour saying the party will demonstrate how the law can be effective with zero corruption. The Congress perforce has had to be pro-prohi-